China Chemicals

Investor marketing feedback

Equities
Chemicals

China

- Light positioning amid high volatility, concerns over the duration of the Middle East conflict, and unattractive valuations
- Concerns over profit normalisation in 2H26 after peaking in 1H
- Feedstock cost advantages and resilient demand remain structural positives, but we expect near-term investor pushback

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We met 35 investors across Hong Kong, Beijing and Shanghai in late April. Key takeaways from investors feedback as follows.

Positioning remains light: Investors believe the chemicals sector remains difficult to trade. As a midstream industry, volatility in chemical product prices, often amplified by movements in crude oil, creates significant pressure on corporate operations. As a result, most investors are maintaining low exposure to the sector and are avoiding trading during the Middle East conflict.

Concerns that H1 2026 marks an earnings peak; post-conflict normalisation implies fairer valuation: Investors believe the Q1 2026 earnings beats of some listed companies were mainly driven by inventory gains, following the rise in crude and downstream chemical product prices since March. Investors are concerned that Q1 or Q2 may represent peak earnings. Under a normalised post-conflict environment in 2H26, the elevated profitability seen in 1H26 may not be sustainable, implying that current valuations look more fairly valued. Most investors therefore prefer to wait for geopolitical uncertainty to ease before repositioning into structural opportunities.

Demand concerns amid elevated oil prices: Although oil prices remain elevated, chemical product prices have broadly declined since May (source: Wind), which to some extent already reflects weak demand conditions. Investors are concerned that downstream procurement and demand may already be negatively affected by high feedstock costs. Meanwhile, investors are structurally avoiding products with greater exposure to industrial and property demand, given their higher sensitivity to cyclical fluctuations. Against this backdrop, investors agree that gas-based chemical producers with feedstock cost advantages still warrant some allocation. However, the market is also concerned that any decline in crude and products could trigger share price corrections in our preferred gas cracker leader such as **Satellite Chemical.**

Fertiliser, where demand remains resilient, is a key focus area: Key investor discussion topics include (1) when fertiliser export quota policies may be relaxed; (2) whether global fertiliser demand during the current planting season has already been suppressed; and (3) how companies can offset margin pressure from rising sulphur costs. From a medium-term perspective, investors remain relatively constructive on the agri-chemicals sector and believe that, if the agricultural cycle begins to recover in 2H26, fertiliser demand and industry fundamentals could improve accordingly. However, margin compression from elevated input costs for our preferred name **Yuntianhua and Chanhen** remains key investor concerns in 2Q26.

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Valuation and risks

		Valuation	Risks
Satellite Chemical 002648 CH **Buy**	Current price: **RMB28.08** Target price: **RMB36.90** Upside: **+31%**	**Methodology:** PB-ROE **Assumptions:** We use a cost of equity of 10.0% (unchanged), based on a risk-free rate of 4.25%, a China equity market risk premium of 4.75%, and a beta of 1.2. We use a target PB multiple of 2.8x (unchanged), derived from the 2026-27e average ROE of 23% (unchanged) and a long-term growth rate of 2.8% (unchanged). Combining this with our 2026-27e average BVPS estimate of RMB13.15 (unchanged), we arrive at a target price of RMB36.90 (unchanged), implying 31% upside. Thus, we maintain our Buy rating. **Potential share price catalysts:** 1) 2Q26 earnings beat and 2) elevated crude oil price. **Yi Ru* (Reg. No. S1700520120001)** | yi.ru@hsbcqh.com.cn | +86 021 5066 2008	**Key downside risks** ◆ Raw material price increase ◆ ASP decline given lower crude prices ◆ Spread was compressed due to lower-than-expected product demand
Yuntianhua 600096 CH **Buy**	Current price: **RMB32.35** Target price: **RMB43.10** Upside: **+33%**	**Methodology:** PB-ROE **Assumptions:** We use a cost of equity of 8.6% (unchanged), based on a risk-free rate of 4.25%, a China equity market risk premium of 4.75%, and a beta of 0.9. We use a target PB multiple of 2.6x (unchanged), derived from the 2027e ROE of 19% (unchanged) and a long-term growth rate of 2% (unchanged). Combining this with our 2027e BVPS estimate of RMB16.29 (unchanged), we arrive at a target price of RMB43.10 (unchanged), implying 33% upside. Thus, we maintain our Buy rating. **Potential share price catalysts:** 1) A relaxation in export policies and 2) a de-escalation in the Middle East conflict. **Yi Ru* (Reg. No. S1700520120001)** | yi.ru@hsbcqh.com.cn | +86 021 5066 2008	**Key downside risks** ◆ Decline in phosphate rock prices ◆ Tightened fertiliser export policies that result in excess domestic supply ◆ Decline in fertiliser demand if grain prices fall ◆ The price of sulfur (raw material) continues to rise, leading to a decline in GPM ◆ Asset impairments from new material projects, such as the iron phosphate project
Chanhen 002895 CH **Buy**	Current price: **RMB34.18** Target price: **RMB50.30** Upside: **+47%**	**Methodology:** PB-ROE **Assumptions:** We use a cost of equity of 9.65% (unchanged), based on a risk-free rate of 4.25%, a China equity market risk premium of 4.75%, and a beta of 1.1. We use a target PB multiple of 3.6x (unchanged), derived from the 2027e ROE of 22% (unchanged) and a long-term growth rate of 5% (unchanged). Combining this with our 2027e BVPS estimate of RMB13.95 (unchanged), we arrive at a target price of RMB50.30 (unchanged), implying 47% upside. Thus, we maintain our Buy rating. **Potential share price catalysts:** 1) Relaxation of phosphate fertiliser export controls to drive phosphate prices; 2) export increase of phosphate acid; 3) new energy project expansion. **Yi Ru* (Reg. No. S1700520120001)** | yi.ru@hsbcqh.com.cn | +86 021 5066 2008	**Key downside risks** ◆ Phosphate rock prices decline ◆ New production capacity construction progress falls short of expectations ◆ Sulphur (raw material) price continues to rise, leading to GPM declines ◆ Environmental protection policy changes ◆ Asset impairments from new material projects, such as the iron phosphate project

Priced at 15 May 2026
Source: HSBC Qianhai Securities estimates, Bloomberg
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Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

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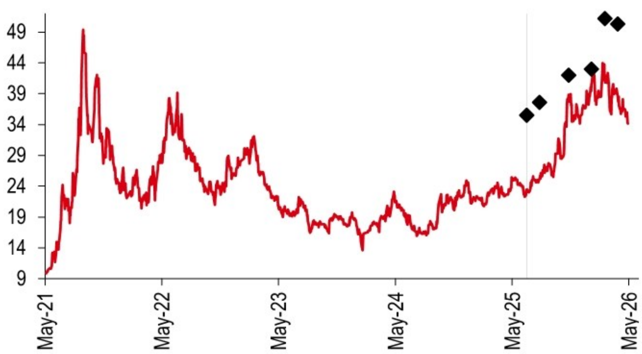
Share price and rating changes for long-term investment opportunities

Guizhou Chanhen (002895.SZ) share price performance CNY Vs HSBC rating history



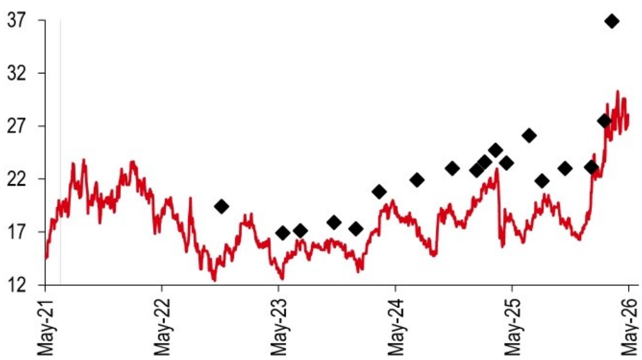
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	02 Jul 2025	Yi Ru
Target price	**Value**	**Date**	**Analyst**
Price 1	35.50	02 Jul 2025	Yi Ru
Price 2	37.60	11 Aug 2025	Yi Ru
Price 3	42.00	11 Nov 2025	Yi Ru
Price 4	43.00	21 Jan 2026	Yi Ru
Price 5	51.20	04 Mar 2026	Yi Ru
Price 6	50.30	13 Apr 2026	Yi Ru

Source: HSBC

Satellite Chemical (002648.SZ) share price performance CNY Vs HSBC rating history



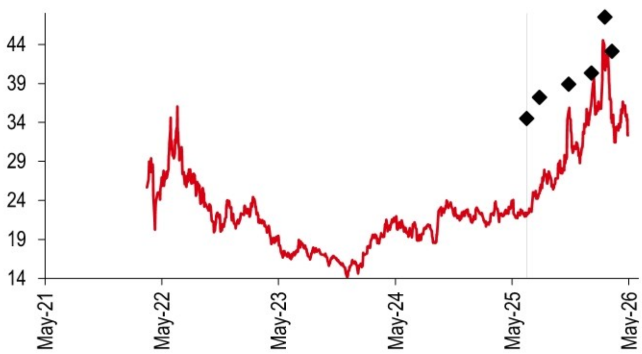
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	05 Jul 2021	Yi Ru
Target price	**Value**	**Date**	**Analyst**
Price 1	19.40	21 Nov 2022	Yi Ru
Price 2	16.90	31 May 2023	Yi Ru
Price 3	17.10	25 Jul 2023	Yi Ru
Price 4	17.90	08 Nov 2023	Yi Ru
Price 5	17.30	15 Jan 2024	Yi Ru
Price 6	20.80	28 Mar 2024	Yi Ru
Price 7	21.90	24 Jul 2024	Yi Ru
Price 8	23.00	12 Nov 2024	Yi Ru
Price 9	22.80	27 Jan 2025	Yi Ru
Price 10	23.60	21 Feb 2025	Yi Ru
Price 11	24.70	27 Mar 2025	Yi Ru
Price 12	23.50	30 Apr 2025	Yi Ru
Price 13	26.10	10 Jul 2025	Yi Ru
Price 14	21.80	19 Aug 2025	Yi Ru
Price 15	23.00	31 Oct 2025	Yi Ru
Price 16	23.10	21 Jan 2026	Yi Ru
Price 17	27.50	03 Mar 2026	Yi Ru
Price 18	36.90	26 Mar 2026	Yi Ru

Source: HSBC

Yunnan Yuntianhua (600096.SS) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	02 Jul 2025	Yi Ru
Target price	**Value**	**Date**	**Analyst**
Price 1	34.50	02 Jul 2025	Yi Ru
Price 2	37.20	11 Aug 2025	Yi Ru
Price 3	38.90	11 Nov 2025	Yi Ru
Price 4	40.30	21 Jan 2026	Yi Ru
Price 5	47.50	04 Mar 2026	Yi Ru
Price 6	43.10	26 Mar 2026	Yi Ru

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
GUIZHOU CHANHEN	002895.SZ	34.18	15 May 2026	–
SATELLITE CHEMICAL	002648.SZ	28.08	15 May 2026	–
YUNNAN YUNTIANHUA	600096.SS	32.35	15 May 2026	–

Source: HSBC

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